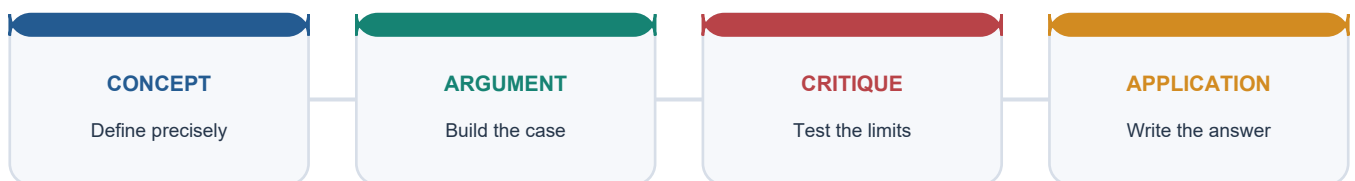


SOLVED PRACTICE WORKBOOK

NPAs, Basel Norms, Resolution and Financial Inclusion - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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NPAs, Basel Norms, Resolution and Financial Inclusion - Solved Practice Workbook

Standalone scope: exactly 32 original MCQs before PYQs, strict ABCD rotation repeated eight times, 128 substantive unique option explanations, 32 unique examiner traps, official-key discipline and six original Mains models.

BASIC MCQS / REMEDIATION

MCQ 1

A term loan ordinarily becomes NPA under RBI's current commercial-bank IRACP directions when:

- A. Interest or principal remains overdue for more than 90 days
- B. The instalment is unpaid at any time on the due date
- C. The borrower reports an ICR below one
- D. The value of collateral falls below the loan

Answer: A.

Option-specific explanations:

- **A - Correct:** The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.
- **B - Incorrect:** The instalment is unpaid at any time on the due date does not satisfy the question's governing distinction. The tested rule instead is: The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.
- **C - Incorrect:** The borrower reports an ICR below one does not satisfy the question's governing distinction. The tested rule instead is: The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.
- **D - Incorrect:** The value of collateral falls below the loan does not satisfy the question's governing distinction. The tested rule instead is: The dated RBI rule distinguishes the due-date concept of overdue from NPA classification after more than 90 days.

Examiner trap 1: Do not convert overdue on due date into NPA on due date.

MCQ 2

Which condition can make a cash-credit account out of order?

- A. The account has any debit entry during a month
- B. Credits during the previous 90 days are insufficient to cover interest debited
- C. The borrower uses less than the sanctioned limit
- D. The loan has valuable collateral

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The account has any debit entry during a month does not satisfy the question's governing distinction. The tested rule instead is: The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.
- **B - Correct:** The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.
- **C - Incorrect:** The borrower uses less than the sanctioned limit does not satisfy the question's governing distinction. The tested rule instead is: The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over 90 days.
- **D - Incorrect:** The loan has valuable collateral does not satisfy the question's governing distinction. The tested rule instead is: The CC/OD test looks at excess over limit/drawing power and genuine credit turnover over

90 days.

Examiner trap 2: CC/OD uses out-of-order tests, not merely the term-loan instalment test.

MCQ 3

Consider the following statements about agricultural NPA recognition:

1. A short-duration crop advance becomes NPA when overdue for two crop seasons.
2. A long-duration crop advance becomes NPA when overdue for one crop season.
3. A fall in crop prices by itself classifies every farm advance as NPA.

Which of the statements given above are correct?

- A. 1 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.
- **B - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.
- **C - Correct:** The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.
- **D - Incorrect:** 1, 2 and 3 does not satisfy the question's governing distinction. The tested rule instead is: The current RBI framework uses two crop seasons for short-duration crops and one for long-duration crops; a price fall alone is not the recognition test.

Examiner trap 3: Crop-season rules are product-specific exceptions to the common 90-day shorthand.

MCQ 4

Which statement about borrower-wise classification is correct?

- A. Only the missed instalment becomes an NPA asset
- B. Security value always prevents NPA recognition
- C. Classification is decided separately by each bank branch
- D. Other facilities to the same borrower in the bank are generally also classified NPA when one facility turns NPA

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Only the missed instalment becomes an NPA asset does not satisfy the question's governing distinction. The tested rule instead is: The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.
- **B - Incorrect:** Security value always prevents NPA recognition does not satisfy the question's governing distinction. The tested rule instead is: The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.
- **C - Incorrect:** Classification is decided separately by each bank branch does not satisfy the question's governing distinction. The tested rule instead is: The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.
- **D - Correct:** The rule prevents a lender from isolating one irregular facility while treating the same borrower's connected facilities as fully performing.

Examiner trap 4: Borrower-wise within one bank does not mean system-wide automatic classification by every lender.

MCQ 5

An asset that has remained NPA for no more than twelve months is generally:

- A. Substandard
- B. Standard
- C. Doubtful for more than three years
- D. Automatically written off

Answer: A.

Option-specific explanations:

- **A - Correct:** The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.
- **B - Incorrect:** Standard does not satisfy the question's governing distinction. The tested rule instead is: The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.
- **C - Incorrect:** Doubtful for more than three years does not satisfy the question's governing distinction. The tested rule instead is: The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.
- **D - Incorrect:** Automatically written off does not satisfy the question's governing distinction. The tested rule instead is: The 2025 IRACP Directions define the first NPA ageing category as substandard for up to twelve months.

Examiner trap 5: NPA is the umbrella; substandard is one class within it.

MCQ 6

Which statement best describes a doubtful asset?

- A. It is overdue for one day
- B. It has remained in the substandard category for twelve months
- C. It is fully secured and therefore standard
- D. It has already been legally waived

Answer: B.

Option-specific explanations:

- **A - Incorrect:** It is overdue for one day does not satisfy the question's governing distinction. The tested rule instead is: RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.
- **B - Correct:** RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.
- **C - Incorrect:** It is fully secured and therefore standard does not satisfy the question's governing distinction. The tested rule instead is: RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.
- **D - Incorrect:** It has already been legally waived does not satisfy the question's governing distinction. The tested rule instead is: RBI's current definition moves an exposure from substandard to doubtful after twelve months in that category.

Examiner trap 6: Collateral affects provisioning and recovery, not the basic ageing definition.

MCQ 7

Consider the following general provisioning pairs under the RBI directions updated 1 July 2026:

1. Substandard asset - 15 per cent
2. Unsecured substandard exposure - 25 per cent
3. Loss asset retained in books - 100 per cent

How many pairs are correctly matched?

- A. Only one
- B. Only two
- C. All three
- D. None

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Only one does not satisfy the question's governing distinction. The tested rule instead is: All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.
- **B - Incorrect:** Only two does not satisfy the question's governing distinction. The tested rule instead is: All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.
- **C - Correct:** All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.
- **D - Incorrect:** None does not satisfy the question's governing distinction. The tested rule instead is: All three pairs state the applicable general provisioning rates; identified loss retained in the books must be fully provided.

Examiner trap 7: Special exposure-specific rules can qualify the general rates, but litigation does not suspend loss provisioning.

MCQ 8

Which statement correctly separates a technical write-off from a waiver?

- A. Both automatically discharge the borrower
- B. A waiver is only a provision against profit
- C. Neither affects the loan account
- D. A technical write-off changes bank accounting while recovery rights may continue

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Both automatically discharge the borrower does not satisfy the question's governing distinction. The tested rule instead is: The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.
- **B - Incorrect:** A waiver is only a provision against profit does not satisfy the question's governing distinction. The tested rule instead is: The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.
- **C - Incorrect:** Neither affects the loan account does not satisfy the question's governing distinction. The tested rule instead is: The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.
- **D - Correct:** The current RBI Resolution Directions define technical write-off without waiver of claims or prejudice to recovery.

Examiner trap 8: A lower reported loan book after write-off is not evidence of cash recovery.

MCQ 9

The provisioning coverage ratio is best described as:

- A. Provisions relative to gross NPAs
- B. Gross NPAs divided by total deposits
- C. Capital divided by total assets
- D. Recoveries divided by written-off loans only

Answer: A.

Option-specific explanations:

- **A - Correct:** PCR indicates the extent of funds set aside against recognised gross bad loans.
- **B - Incorrect:** Gross NPAs divided by total deposits does not satisfy the question's governing distinction. The tested rule instead is: PCR indicates the extent of funds set aside against recognised gross bad loans.
- **C - Incorrect:** Capital divided by total assets does not satisfy the question's governing distinction. The tested rule instead is: PCR indicates the extent of funds set aside against recognised gross bad loans.
- **D - Incorrect:** Recoveries divided by written-off loans only does not satisfy the question's governing distinction. The tested rule instead is: PCR indicates the extent of funds set aside against recognised gross bad loans.

Examiner trap 9: PCR is not CRAR and does not measure deposit insurance.

MCQ 10

Which statement about Interest Coverage Ratio is correct?

- A. It is the ratio used to calculate DICGC cover
- B. It indicates earnings capacity to service interest but is not the legal NPA test
- C. A value below one automatically proves fraud
- D. It measures bank capital against RWA

Answer: B.

Option-specific explanations:

- **A - Incorrect:** It is the ratio used to calculate DICGC cover does not satisfy the question's governing distinction. The tested rule instead is: ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.
- **B - Correct:** ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.
- **C - Incorrect:** A value below one automatically proves fraud does not satisfy the question's governing distinction. The tested rule instead is: ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.
- **D - Incorrect:** It measures bank capital against RWA does not satisfy the question's governing distinction. The tested rule instead is: ICR is a borrower cash-flow warning indicator, whereas NPA classification follows RBI prudential triggers.

Examiner trap 10: Financial weakness and regulatory classification are related but not identical.

MCQ 11

Evergreening most accurately means:

- A. A transparent viable restructuring with proper recognition
- B. A cash recovery from sale of collateral
- C. Using fresh or engineered finance to conceal an unviable old exposure
- D. A bank raising common equity

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A transparent viable restructuring with proper recognition does not satisfy the question's governing distinction. The tested rule instead is: Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.
- **B - Incorrect:** A cash recovery from sale of collateral does not satisfy the question's governing distinction. The tested rule instead is: Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.
- **C - Correct:** Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.
- **D - Incorrect:** A bank raising common equity does not satisfy the question's governing distinction. The tested rule instead is: Evergreening creates the appearance of repayment without restoring sustainable borrower cash flow.

Examiner trap 11: Additional finance is not automatically evergreening if independently viable and transparently recognised.

MCQ 12

A bank has eligible regulatory capital of Rs 9 crore and risk-weighted assets of Rs 100 crore. Its total CRAR is:

- A. 0.09 per cent
- B. 11.5 per cent necessarily
- C. Cannot be calculated without total deposits
- D. 9 per cent

Answer: D.

Option-specific explanations:

- **A - Incorrect:** 0.09 per cent does not satisfy the question's governing distinction. The tested rule instead is: CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.
- **B - Incorrect:** 11.5 per cent necessarily does not satisfy the question's governing distinction. The tested rule instead is: CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.
- **C - Incorrect:** Cannot be calculated without total deposits does not satisfy the question's governing distinction. The tested rule instead is: CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.
- **D - Correct:** CRAR equals eligible regulatory capital divided by risk-weighted assets, multiplied by 100; the stated figures therefore yield 9 per cent.

Examiner trap 12: Meeting a numerical CRAR does not establish that every component minimum or buffer is met.

MCQ 13

What is Basel Pillar 2?

- A. Supervisory review of capital adequacy and risks
- B. Minimum capital calculation alone
- C. Market disclosure alone
- D. Deposit insurance resolution

Answer: A.

Option-specific explanations:

- **A - Correct:** Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.
- **B - Incorrect:** Minimum capital calculation alone does not satisfy the question's governing distinction. The tested rule instead is: Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.
- **C - Incorrect:** Market disclosure alone does not satisfy the question's governing distinction. The tested rule instead is: Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.
- **D - Incorrect:** Deposit insurance resolution does not satisfy the question's governing distinction. The tested rule instead is: Pillar 2 allows supervisors to assess risks and capital needs beyond mechanical Pillar 1 minima.

Examiner trap 13: Pillar 3, not Pillar 2, is market discipline through disclosure.

MCQ 14

Arrange the following Basel developments in chronological order:

1. Three-pillar architecture
 2. Credit-risk-focused capital floor
 3. Stronger capital quality, buffers, leverage and liquidity standards
- A. 1 - 2 - 3
 - B. 2 - 1 - 3
 - C. 3 - 2 - 1
 - D. 2 - 3 - 1

Answer: B.

Option-specific explanations:

- **A - Incorrect:** 1 - 2 - 3 does not satisfy the question's governing distinction. The tested rule instead is: Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.
- **B - Correct:** Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.
- **C - Incorrect:** 3 - 2 - 1 does not satisfy the question's governing distinction. The tested rule instead is: Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.
- **D - Incorrect:** 2 - 3 - 1 does not satisfy the question's governing distinction. The tested rule instead is: Basel I centred on a credit-risk capital floor, Basel II introduced the three pillars, and Basel III strengthened capital while adding leverage and liquidity safeguards.

Examiner trap 14: Basel chronology does not mean that later standards replace supervision or disclosure.

MCQ 15

Under RBI's Basel III Master Circular dated 1 April 2025, the covered-SCB standalone total CRAR minimum before CCB is:

- A. 8 per cent
- B. 11.5 per cent
- C. 9 per cent
- D. 5.5 per cent

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 8 per cent does not satisfy the question's governing distinction. The tested rule instead is: India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.
- **B - Incorrect:** 11.5 per cent does not satisfy the question's governing distinction. The tested rule instead is: India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.
- **C - Correct:** India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.
- **D - Incorrect:** 5.5 per cent does not satisfy the question's governing distinction. The tested rule instead is: India's 9 per cent total minimum is above the Basel global 8 per cent floor; 11.5 per cent includes the 2.5 per cent CCB.

Examiner trap 15: State the RBI perimeter because SFBs, Payments Banks and RRBs use separate rules.

MCQ 16

Which buffer is designed to conserve capital during stress through distribution constraints?

- A. Cash Reserve Ratio
- B. Liquidity Coverage Ratio
- C. Provisioning Coverage Ratio
- D. Capital Conservation Buffer

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Cash Reserve Ratio does not satisfy the question's governing distinction. The tested rule instead is: The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.
- **B - Incorrect:** Liquidity Coverage Ratio does not satisfy the question's governing distinction. The tested rule instead is: The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.
- **C - Incorrect:** Provisioning Coverage Ratio does not satisfy the question's governing distinction. The tested rule instead is: The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.
- **D - Correct:** The CCB is common-equity capital above minima and constrains distributions when a bank enters the buffer range.

Examiner trap 16: CCB is not a cash reserve or an expected-loss provision.

MCQ 17

Consider the following statements about India's Countercyclical Capital Buffer (CCyB):

1. RBI has a framework under which the buffer can be activated with systemic conditions.
2. The cited Basel III Master Circular of 1 April 2025 reported it as not activated.
3. It permanently replaces the Capital Conservation Buffer.

Which of the statements given above are correct?

- A. 1 and 2 only
- B. 1 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: A.

Option-specific explanations:

- **A - Correct:** RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.
- **B - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.
- **C - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.
- **D - Incorrect:** 1, 2 and 3 does not satisfy the question's governing distinction. The tested rule instead is: RBI retains a CCyB framework but the cited circular reported no activation; it does not permanently replace the Capital Conservation Buffer.

Examiner trap 17: A maximum framework value is not the same as the currently activated rate.

MCQ 18

The leverage ratio differs from CRAR because its denominator is:

- A. Only risk-weighted corporate assets
- B. A broad exposure measure without risk weights
- C. Only high-quality liquid assets
- D. Net cash outflows over 30 days

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Only risk-weighted corporate assets does not satisfy the question's governing distinction. The tested rule instead is: The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.
- **B - Correct:** The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.
- **C - Incorrect:** Only high-quality liquid assets does not satisfy the question's governing distinction. The tested rule instead is: The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.
- **D - Incorrect:** Net cash outflows over 30 days does not satisfy the question's governing distinction. The tested rule instead is: The leverage ratio is a simple non-risk-based backstop against model or risk-weight understatement.

Examiner trap 18: Do not use the RWA denominator for both ratios.

MCQ 19

What does a 100 per cent LCR require under the cited RBI framework?

- A. Stable funding equal to one-year required funding
- B. CET1 equal to total assets
- C. HQLA sufficient to meet 30-day stressed net cash outflows
- D. Cash equal to all deposits

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Stable funding equal to one-year required funding does not satisfy the question's governing distinction. The tested rule instead is: LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.
- **B - Incorrect:** CET1 equal to total assets does not satisfy the question's governing distinction. The tested rule instead is: LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.
- **C - Correct:** LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.
- **D - Incorrect:** Cash equal to all deposits does not satisfy the question's governing distinction. The tested rule instead is: LCR matches a stock of high-quality liquid assets to modelled net outflows over a 30-day stress horizon.

Examiner trap 19: NSFR, not LCR, is the one-year structural-funding test.

MCQ 20

NSFR of at least 100 per cent means:

- A. Cash inflow exceeds cash outflow for one day
- B. Gross NPA equals provisions
- C. Tier 2 exceeds CET1
- D. Available stable funding is at least required stable funding over the one-year horizon

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Cash inflow exceeds cash outflow for one day does not satisfy the question's governing distinction. The tested rule instead is: The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.
- **B - Incorrect:** Gross NPA equals provisions does not satisfy the question's governing distinction. The tested rule instead is: The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.
- **C - Incorrect:** Tier 2 exceeds CET1 does not satisfy the question's governing distinction. The tested rule instead is: The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.
- **D - Correct:** The ratio limits reliance on unstable funding for assets and activities requiring longer-term support.

Examiner trap 20: NSFR is not an immediate-run cash ratio.

MCQ 21

Which tool is preventive supervision rather than insolvency resolution?

- A. Prompt Corrective Action
- B. IBC liquidation
- C. SARFAESI sale
- D. DICGC payout

Answer: A.

Option-specific explanations:

- **A - Correct:** PCA imposes corrective restrictions based on financial indicators before or during serious weakness.
- **B - Incorrect:** IBC liquidation does not satisfy the question's governing distinction. The tested rule instead is: PCA imposes corrective restrictions based on financial indicators before or during serious weakness.
- **C - Incorrect:** SARFAESI sale does not satisfy the question's governing distinction. The tested rule instead is: PCA imposes corrective restrictions based on financial indicators before or during serious weakness.
- **D - Incorrect:** DICGC payout does not satisfy the question's governing distinction. The tested rule instead is: PCA imposes corrective restrictions based on financial indicators before or during serious weakness.

Examiner trap 21: PCA does not transfer the bank to NCLT or pay insured deposits.

MCQ 22

A borrower defaults under a facility covered by RBI's Commercial Banks Resolution of Stressed Assets Directions, 2025. What is the immediate prudential sequence?

- A. Classification is frozen for 180 days
- B. A 30-day Review Period begins while normal asset classification continues
- C. The account moves automatically to NCLT liquidation
- D. The lender must wait for a technical write-off

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Classification is frozen for 180 days does not satisfy the question's governing distinction. The tested rule instead is: The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.
- **B - Correct:** The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.
- **C - Incorrect:** The account moves automatically to NCLT liquidation does not satisfy the question's governing distinction. The tested rule instead is: The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.
- **D - Incorrect:** The lender must wait for a technical write-off does not satisfy the question's governing distinction. The tested rule instead is: The dated framework gives lenders a 30-day Review Period to choose a documented strategy without suspending normal IRACP recognition.

Examiner trap 22: A Review Period is a decision window, not regulatory forbearance.

MCQ 23

What voting rule binds signatories under the RBI inter-creditor agreement?

- A. 66 per cent by value only
- B. 51 per cent by number only
- C. 75 per cent by value and 60 per cent by number
- D. Unanimity in every case

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 66 per cent by value only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.
- **B - Incorrect:** 51 per cent by number only does not satisfy the question's governing distinction. The tested rule instead is: The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.
- **C - Correct:** The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.
- **D - Incorrect:** Unanimity in every case does not satisfy the question's governing distinction. The tested rule instead is: The current RBI out-of-court framework uses dual value-and-number thresholds for ICA signatories.

Examiner trap 23: Do not substitute the IBC CoC's 66 per cent voting rule.

MCQ 24

Match the mechanism with its governing decision rule:

1. RBI inter-creditor agreement - 75 per cent by value and 60 per cent by number
2. IBC resolution plan - at least 66 per cent of CoC voting share
3. SARFAESI section 13(2) - 60-day demand notice

Which option is correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: D.

Option-specific explanations:

- **A - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.
- **B - Incorrect:** 1 and 2 only does not satisfy the question's governing distinction. The tested rule instead is: All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.
- **C - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.
- **D - Correct:** All three matches preserve the distinct contractual, collective-insolvency and secured-enforcement thresholds.

Examiner trap 24: Never transfer the ICA's dual threshold to the IBC CoC or treat a notice period as a voting rule.

MCQ 25

Which institution is created under the Recovery of Debts and Bankruptcy Act, 1993?

- A. Debt Recovery Tribunal
- B. Committee of Creditors
- C. Deposit Insurance Corporation
- D. Monetary Policy Committee

Answer: A.

Option-specific explanations:

- **A - Correct:** DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.
- **B - Incorrect:** Committee of Creditors does not satisfy the question's governing distinction. The tested rule instead is: DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.
- **C - Incorrect:** Deposit Insurance Corporation does not satisfy the question's governing distinction. The tested rule instead is: DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.
- **D - Incorrect:** Monetary Policy Committee does not satisfy the question's governing distinction. The tested rule instead is: DRTs adjudicate and recover qualifying debts of banks and financial institutions under the specialised statute.

Examiner trap 25: DRT recovery and NCLT insolvency are distinct routes.

MCQ 26

A Security Receipt issued through an ARC represents:

- A. An insured demand deposit
- B. An undivided interest in the financial assets held under the scheme
- C. Common equity in RBI
- D. A statutory loan waiver

Answer: B.

Option-specific explanations:

- **A - Incorrect:** An insured demand deposit does not satisfy the question's governing distinction. The tested rule instead is: The SR links the investor's return to realisation from the acquired stressed-asset pool.
- **B - Correct:** The SR links the investor's return to realisation from the acquired stressed-asset pool.
- **C - Incorrect:** Common equity in RBI does not satisfy the question's governing distinction. The tested rule instead is: The SR links the investor's return to realisation from the acquired stressed-asset pool.
- **D - Incorrect:** A statutory loan waiver does not satisfy the question's governing distinction. The tested rule instead is: The SR links the investor's return to realisation from the acquired stressed-asset pool.

Examiner trap 26: ARC registration does not make every SR sovereign-guaranteed.

MCQ 27

What begins when NCLT admits a corporate insolvency application?

- A. Automatic liquidation distribution
- B. A DICGC claim
- C. CIRP and the section 14 moratorium
- D. A Basel capital surcharge

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Automatic liquidation distribution does not satisfy the question's governing distinction. The tested rule instead is: Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.
- **B - Incorrect:** A DICGC claim does not satisfy the question's governing distinction. The tested rule instead is: Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.
- **C - Correct:** Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.
- **D - Incorrect:** A Basel capital surcharge does not satisfy the question's governing distinction. The tested rule instead is: Admission starts the collective process and the statutory calm period for specified actions against the corporate debtor.

Examiner trap 27: Admission is not approval of a resolution plan.

MCQ 28

Which sequence correctly traces a corporate insolvency resolution process after a valid application is admitted?

- A. DICGC payout -> Basel surcharge -> loan waiver
- B. SARFAESI notice -> automatic plan approval -> PMJDY transfer
- C. Liquidation distribution -> admission -> moratorium
- D. Moratorium -> insolvency professional and CoC process -> plan vote -> NCLT approval or liquidation route

Answer: D.

Option-specific explanations:

- **A - Incorrect:** DICGC payout -> Basel surcharge -> loan waiver does not satisfy the question's governing distinction. The tested rule instead is: NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.
- **B - Incorrect:** SARFAESI notice -> automatic plan approval -> PMJDY transfer does not satisfy the question's governing distinction. The tested rule instead is: NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.
- **C - Incorrect:** Liquidation distribution -> admission -> moratorium does not satisfy the question's governing distinction. The tested rule instead is: NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.
- **D - Correct:** NCLT admission triggers the section 14 moratorium and collective process; the CoC considers plans before tribunal approval or a liquidation route.

Examiner trap 28: Admission begins CIRP; it neither approves a plan nor distributes liquidation proceeds.

MCQ 29

Which statement best describes the NARCL-IDRCL structure?

- A. NARCL acquires stressed assets and IDRCL supports their resolution
- B. IDRCL insures retail deposits
- C. NARCL is the insolvency tribunal
- D. Both are Payments Banks

Answer: A.

Option-specific explanations:

- **A - Correct:** The two-entity architecture separates asset ownership/acquisition from specialised resolution management.
- **B - Incorrect:** IDRCL insures retail deposits does not satisfy the question's governing distinction. The tested rule instead is: The two-entity architecture separates asset ownership/acquisition from specialised resolution

management.

- **C - Incorrect:** NARCL is the insolvency tribunal does not satisfy the question's governing distinction. The tested rule instead is: The two-entity architecture separates asset ownership/acquisition from specialised resolution management.
- **D - Incorrect:** Both are Payments Banks does not satisfy the question's governing distinction. The tested rule instead is: The two-entity architecture separates asset ownership/acquisition from specialised resolution management.

Examiner trap 29: A bad-bank transfer relocates the asset but does not erase its economic loss.

MCQ 30

Under RBI's 30 July 2024 Directions, wilful default requires:

- A. Any NPA lasting more than 90 days
- B. Intentional, deliberate and calculated conduct meeting a specified capacity or misuse test
- C. Every failed business project
- D. A criminal conviction before bank review

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Any NPA lasting more than 90 days does not satisfy the question's governing distinction. The tested rule instead is: The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.
- **B - Correct:** The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.
- **C - Incorrect:** Every failed business project does not satisfy the question's governing distinction. The tested rule instead is: The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.
- **D - Incorrect:** A criminal conviction before bank review does not satisfy the question's governing distinction. The tested rule instead is: The classification focuses on capacity-based non-payment, diversion, siphoning or unauthorised disposal and uses prescribed due process.

Examiner trap 30: Wilful default and fraud are separate classifications even where facts overlap.

MCQ 31

Consider the following statements about a covered Basic Savings Bank Deposit account under RBI's amendment effective 1 April 2026:

1. No minimum balance is required for the prescribed basic facilities.
2. At least four withdrawals a month are free under the listed basic service.
3. Every holder receives an automatic Rs 10,000 loan.

Which of the statements given above are correct?

- A. 1 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** 1 only does not satisfy the question's governing distinction. The tested rule instead is: The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.

- **B - Incorrect:** 2 and 3 only does not satisfy the question's governing distinction. The tested rule instead is: The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.
- **C - Correct:** The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.
- **D - Incorrect:** 1, 2 and 3 does not satisfy the question's governing distinction. The tested rule instead is: The dated BSBD framework provides no-minimum-balance basic service and at least four free withdrawals a month; it does not create an automatic loan entitlement.

Examiner trap 31: BSBD and PMJDY overlap in inclusion purpose but are not identical labels.

MCQ 32

Which chain best represents durable financial inclusion?

- A. Account opening -> automatic income growth
- B. Credit target -> guaranteed repayment
- C. Digitisation -> elimination of fraud
- D. Access -> active usage -> quality and protection -> welfare improvement

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Account opening -> automatic income growth does not satisfy the question's governing distinction. The tested rule instead is: Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.
- **B - Incorrect:** Credit target -> guaranteed repayment does not satisfy the question's governing distinction. The tested rule instead is: Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.
- **C - Incorrect:** Digitisation -> elimination of fraud does not satisfy the question's governing distinction. The tested rule instead is: Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.
- **D - Correct:** Inclusion becomes meaningful when reachable services are used safely, suitably and repeatedly.

Examiner trap 32: Access counts alone can coexist with dormancy, exclusion or over-indebtedness.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE PYQ ROUTES

The audited repository ledger routes five objective demands to Topic 6. Their exact option text and final official keys are not locally verified, so no answer letter is inferred.

PYQ 1 - UPSC Prelims 2018, GS Paper I, Question 16

Verified demand: Capital Adequacy Ratio, who sets it and why risk-weighted assets matter.

Answer withheld pending official UPSC key.

Examiner-ready solution: CRAR is eligible regulatory capital divided by risk-weighted assets. The Basel Committee develops international standards; RBI applies India-specific requirements to its regulated perimeter. The ratio does not use total deposits or a flat total-asset denominator. A higher ratio may result from more capital, lower RWA or both, so the direction of causation needs qualification.

PYQ 2 - UPSC Prelims 2019, GS Paper I, Question 72

Verified demand: Purpose of an Inter-Creditor Agreement in stressed-asset resolution.

Answer withheld pending official UPSC key.

Examiner-ready solution: An ICA coordinates lenders to the same borrower and reduces holdout/free-rider problems. Under RBI's current Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026, a decision supported by signatories representing 75 per cent by value and 60 per cent by number binds signatories, subject to dissenting-lender protection. An ICA is contractual and must not be confused with the IBC CoC or NCLT.

PYQ 3 - UPSC Prelims 2020, GS Paper I, Question 62

Verified demand: Interest Coverage Ratio and its use in assessing company debt-servicing capacity.

Answer withheld pending official UPSC key.

Examiner-ready solution: ICR compares earnings available for interest with interest expense. A lower ratio indicates weaker ability to service interest from operations; below one generally means the chosen earnings measure is insufficient for the interest bill. It is an analytical warning indicator, not the legal definition of an NPA, and accounting definitions must be checked before comparing firms.

PYQ 4 - UPSC Prelims 2021, GS Paper I, Question 14

Verified demand: WaterCredit as a microfinance-linked model for water and sanitation access.

Answer withheld pending official UPSC key.

Examiner-ready solution: WaterCredit uses repayable microfinance or partner-finance mechanisms to help households obtain water and sanitation assets. It is not a Government of India bank category, a deposit-insurance scheme or a general loan waiver. The wider lesson is that inclusion can finance a specific welfare-enhancing asset while still requiring affordability and consumer safeguards.

PYQ 5 - UPSC Prelims 2023, GS Paper I, Question 74

Verified demand: Self-Help Group origins, structure, savings and bank-linkage characteristics.

Answer withheld pending official UPSC key.

Examiner-ready solution: An SHG is a voluntary small group built around regular savings, internal lending, meetings, records and peer discipline. NABARD's SHG-Bank Linkage pilot began in 1992. Banks provide the regulated account and credit relationship; the SHG does not become a bank. Statements claiming universal government formation, identical membership rules or automatic subsidy should therefore be rejected.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish overdue, out-of-order and NPA classification. Answer in 150 words.

Demand decoding

Separate the due-date concept from product-specific recognition tests, then close with the borrower-wise and security-value qualifications.

Answer plan and validation

- **Plan:** overdue -> term-loan/CC-OD/agriculture tests -> borrower-wise rule -> qualification.
- **Validated native-body count:** 143 alphanumeric words.

Model answer

RBI's Commercial Banks IRACP Directions, 2025, updated 1 July 2026, define overdue as any amount unpaid on its contractual due date. That status is an early clock, not itself the universal NPA test.

For a term loan, principal or interest remaining overdue for more than 90 days ordinarily makes the asset non-performing. A cash-credit or overdraft account instead becomes out of order when it remains continuously above the sanctioned limit or drawing power for 90 days, has no credits for 90 days, or its credits cannot cover interest debited during the previous 90 days. Bills purchased or discounted use the more-than-90-day overdue test;

agricultural advances use crop-season tests.

Thus, product design determines recognition. The classification is generally borrower-wise within a bank and cannot be postponed merely because collateral is valuable. Exact facility, due date and regulatory perimeter must precede any conclusion about stress.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why are provisioning, write-off and waiver not interchangeable responses to an NPA? Answer in 150 words.

Demand decoding

Compare the accounting entry, continuing recovery right and legal discharge consequence; explain why reported NPA reduction differs from recovery.

Answer plan and validation

- **Plan:** provision -> technical write-off -> waiver -> reporting consequences -> governance conclusion.
- **Validated native-body count:** 141 alphanumeric words.

Model answer

Provisioning recognises expected loss by charging bank income while the loan remains on the balance sheet. RBI's IRACP Directions updated 1 July 2026 link the provision to asset class, ageing, security and realisable value. It therefore protects capital credibility before final recovery is known.

A technical write-off removes all or part of the NPA from bank-level accounting without waiving the claim at borrower level. Recovery action may continue, so a lower reported GNPA stock after write-off is not equivalent to cash collection. A waiver, by contrast, relinquishes the borrower's liability to the stated extent and may involve a government or lender policy decision.

The distinction matters for fiscal cost, borrower discipline and bank performance. Sound analysis should report gross NPAs, provisions, net NPAs, write-offs, recoveries and loan growth together. None of the three devices substitutes for appraisal, governance or viable resolution.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain how Basel III capital, leverage and liquidity standards jointly strengthen Indian banks. Answer in 250 words.

Demand decoding

Organise the answer by loss absorption, non-risk-weighted leverage and two liquidity horizons; state RBI values with dates and perimeter.

Answer plan and validation

- **Plan:** RWA capital -> capital quality/buffer -> leverage backstop -> LCR/NSFR -> residual risks.
- **Validated native-body count:** 214 alphanumeric words.

Model answer

Basel regulation addresses different failure channels rather than relying on one ratio. Risk-weighted capital absorbs unexpected credit, market and operational losses. Under RBI's Master Circular dated 1 April 2025 for covered scheduled commercial banks, standalone minima are CET1 5.5 per cent, Tier 1 capital 7 per cent and total CRAR 9 per cent of RWA. The 2.5 per cent Capital Conservation Buffer, met with CET1, raises effective CET1 to 8 per cent and total capital to 11.5 per cent.

Risk weights can understate exposures or invite optimisation. RBI's leverage-ratio rule, effective from the quarter beginning 1 October 2019, therefore provides a non-risk-weighted backstop: 4 per cent for domestic systemically important banks and 3.5 per cent for other covered banks.

Liquidity rules address timing rather than solvency. LCR of at least 100 per cent, fully effective from 1 January 2019, requires high-quality liquid assets against 30-day stressed net outflows. NSFR of at least 100 per cent from 1 October 2021 requires stable funding against one-year funding needs.

Together these rules improve loss absorption, constrain leverage and reduce run or rollover risk. Yet ratios remain model- and perimeter-dependent. Concentration, governance, cyber risk, hidden NPAs and stress correlations require supervision and scenario testing. Strong buffers should support disciplined intermediation, not replace sound underwriting.

ORIGINAL MAINS 4 - 15 MARKS

Question: Compare RBI's prudential resolution framework, SARFAESI, DRTs and IBC as responses to stressed assets. Answer in 250 words.

Demand decoding

Compare trigger, decision-maker, remedy and best-use case across consensual resolution, secured enforcement, tribunal recovery and collective insolvency.

Answer plan and validation

- **Plan:** RBI framework -> SARFAESI -> DRT -> IBC -> comparative choice and implementation limit.
- **Validated native-body count:** 209 alphanumeric words.

Model answer

India's stressed-asset architecture separates consensual repair, claim enforcement and collective insolvency. RBI's Commercial Banks Resolution of Stressed Assets Directions, 2025, updated 1 July 2026, require a 30-day review after default or a credit event. A multi-lender plan uses an ICA; 75 per cent by value and 60 per cent by number bind signatories. Classification continues during negotiation, and delayed implementation attracts additional provisioning.

SARFAESI, 2002 enables an eligible secured creditor, after section 13(2)'s 60-day notice, to use section 13(4) enforcement measures without first obtaining an ordinary civil decree. It is effective for clear, valuable security but does not coordinate all claims against a complex going concern.

The Recovery of Debts and Bankruptcy Act, 1993 establishes DRTs for adjudication and recovery of bank and financial-institution debt. DRT is a specialised recovery forum, not a corporate rescue committee.

IBC, 2016 begins a collective CIRP on NCLT admission, imposes a bounded moratorium and places commercial choice with the CoC. A compliant plan needs at least 66 per cent voting share and NCLT approval; otherwise statutory liquidation routes may follow.

No mechanism is universally superior. The correct choice depends on viability, security, creditor dispersion, information, time and going-concern value. Capacity and due process determine whether formal speed becomes actual resolution.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically evaluate the NARCL-IDRCL model as part of India's bad-loan resolution architecture. Answer in 250 words.

Demand decoding

Explain the two-entity acquisition-resolution design, financing mix and guarantee; then test valuation, incentives, governance and realised recovery.

Answer plan and validation

- **Plan:** institutional design -> claimed gains -> retained risks -> performance tests -> complementary role.
- **Validated native-body count:** 204 alphanumeric words.

Model answer

NARCL and IDRCL separate acquisition from resolution management. Under the architecture announced in 2021, NARCL, an RBI-registered asset reconstruction company, acquires identified legacy stressed assets. Consideration follows a 15:85 cash-to-Security-Receipt structure. IDRCL supplies resolution expertise under the agreed arrangement, while a Government guarantee of up to Rs 30,600 crore supports eligible SR shortfalls within the specified five-year design. DFS's Annual Report 2024-25 records the mechanism as operational.

The model offers four gains. Aggregation can solve coordination problems across lenders. Specialist teams can focus on restructuring, enforcement or sale. Banks receive some cash and can redirect management attention to new credit.

Common ownership among public-sector sellers can accelerate decisions.

However, a transfer is not recovery. An inflated acquisition price postpones loss recognition; a low price can generate immediate bank losses. The 85 per cent SR component leaves selling banks exposed to realisation. A guarantee may create moral hazard if due diligence weakens. IDRCL-NARCL role clarity, professional independence, information quality and a deep buyer market are therefore decisive.

NARCL should be judged by transparent valuation, time to resolution, net present recovery, SR redemption and governance-not gross assets transferred. It complements, rather than replaces, IBC, SARFAESI, DRTs, ARCs, bank provisioning and better credit appraisal.

ORIGINAL MAINS 6 - 20 MARKS

Question: Financial inclusion and financial stability are complements only under responsible credit design. Discuss. Answer in 250 words.

Demand decoding

Balance access, usage and quality gains against underwriting, over-indebtedness, conduct and digital risks; finish with responsible-credit safeguards.

Answer plan and validation

- **Plan:** access channels -> stability gains -> risk channels -> consumer safeguards -> qualified verdict.
- **Validated native-body count:** 214 alphanumeric words.

Model answer

Financial inclusion lowers transaction costs, mobilises savings, improves payment resilience and connects households and small firms to formal credit. PMJDY, launched on 28 August 2014, uses basic accounts, RuPay, transfers and Business Correspondents. RBI's BSBD amendment dated 4 December 2025, effective 1 April 2026, strengthens zero-minimum-balance service. Priority-sector rules, MUDRA, SHG-Bank Linkage and JLGs address sector, collateral and information gaps.

These measures can strengthen stability. Broader deposits diversify funding; digital records can improve underwriting; regular saving and insurance reduce household vulnerability. RBI's FI-Index-Access, Usage and Quality-correctly treats opening an account as only the first stage.

Yet poorly governed inclusion can manufacture stress. Target-chasing may weaken appraisal; guarantees can reduce screening; multiple micro-loans can create over-indebtedness; group pressure can become coercive; digital journeys can enable fraud, opaque pricing, consent abuse and exclusion through failed authentication. Post-crisis risk aversion can create the opposite error by denying viable small borrowers.

Responsible inclusion therefore requires cash-flow appraisal, transparent annualised cost, suitable products, credit-information safeguards, bank responsibility for agents, assisted alternatives, fraud response and accessible grievance redress. Early-warning systems, honest NPA recognition, proportional capital and fair resolution complete the chain.

The aim is not riskless lending. It is a system that permits productive risk, prices it transparently, absorbs losses and preserves access without socialising every private failure.